Assessment comments

Example 4: SLP2

Subject: Economics

Component: SL paper 2

Question 1 Part	Marks awarded	Marks available	Comments
(a)(i)	1	2	This response only conveys the idea that foreign direct investment is a type of investment between countries and thus is awarded one mark.
(a)(ii)	0	2	This definition does not provide an adequate formula of the unemployment rate. Also, unemployment is not explained. Thus, the response does not qualify for any marks.
(b)(i)	2	2	As workings are not required for this specific question, a full mark is awarded. Note that valid figures may be given for more (but not less) than two decimal points.
(b)(ii)	1	1	The correct year is identified.
(b)(iii)	2	2	The formula "X – M" can be interpreted as a valid working.
(c)	4	4	Two marks are awarded for the diagram and two marks for the explanation. The diagram is correct and includes what is required by the markscheme—an increase in long-run aggregate supply (LRAS) and an increase in potential output (Y1 to Y2). The explanation indicates that potential output would increase and the shift of the LRAS is supported by the increase in efficiency.
(d)	4	4	Two marks are awarded for the diagram and two marks for the explanation. The diagram meets the requirements of the markscheme (since either negative production or consumption externalities were accepted). The MSB = MPB (marginal social benefit equals marginal private benefit) line is a little faint, but it does not affect the accuracy of the diagram. Some external cost (pollution) is clearly identified and that the market brings about a welfare loss is mentioned.
(e)	4	4	Two marks are awarded for the diagram and two marks for the explanation. The diagram is correct and fully labelled, showing both an increase in supply and a lower value of the exchange rate. The explanation states that the central bank buys euros and, in the process, supplies denars. The appreciation of currency is mentioned, which is incorrect, but this may be ignored since stating the impact on the currency is not required by the markscheme (positive marking).

Question 1 Part	Marks awarded	Marks available	Comments
(f)	2	4	One mark is awarded for the diagram and one mark for the explanation. The labelling for the diagram is unclear since there are two second quarters (Q2s), and nothing in the explanation clarifies this point. The quantities are necessary to identify the precise impact on wine production. The impact on domestic production in terms of the quantity supplied by domestic producers is not clearly mentioned. The reference to revenue rectangles is not sufficient. The increase in imports is also not specifically mentioned.
(g)	3	15	The level descriptors are as noted below. • Demands of the question (one-to-three markband): The response indicates almost no understanding of the specific requirements of the question (there is no understanding of a common market beyond some vague notion of lifting of trade barriers and free movement of labour). • Theory (one-to-three markband): The theory provided is limited and largely irrelevant. • Terminology (one-to-three markband): A limited use of terms is demonstrated, and when they are used, the terms are largely irrelevant. • Synthesis/evaluation (one-to-three markband): There is no evidence of synthesis/evaluation. • Use of text (one-to-three markband): The text is mostly repeated and with limited relevance. This response meets all the descriptors in the lowest (one-to-three) markband and hence three marks are awarded.
Total	**23**	**40**	